

## POLICY &amp; REGULATION

# Mamdani's EDC Picks Signal Time Is the City's Most Expensive Development Input

Seven months without a permanent leader is a capital cost that compounds every day a project waits.

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A source-grounded Light Tower Insight. The complete note follows.

Seven months is not a long time in politics. In development finance, it is an eternity.

Mayor Zohran Mamdani has named Anthony Shorris president and CEO of the New York City Economic Development Corporation, and Lina Khan as its chair. The appointments end a 220-day vacancy at the agency that controls city-owned land, administers incentive programs, and selects developers for public-private partnerships. The delay itself is the story.

Every day the EDC lacked a permanent leader was a day no major city-owned site could move through entitlement, no new RFP could be calibrated to current market conditions, and no developer could underwrite a timeline with confidence. In capital markets, time is not a backdrop. It is the most expensive ingredient in any project. A seven-month leadership vacuum at the agency that gates access to public land and subsidies is a direct tax on development velocity.

The cost shows up in the capital stack. A developer underwriting a 140-unit mixed-income project on a city-owned lot in Harlem, like the one the EDC just released an RFP for, must finance construction, carry land, and absorb operating losses during lease-up. Every month of delay in the city's decision-making chain extends that carry period. In a 7% interest rate environment, an extra six months of construction financing on a \$50 million project adds roughly \$1.75 million in interest costs alone. That is not a policy abstraction. It is a line item that determines whether a project pencils or dies.

The appointments themselves send a mixed signal to capital. Shorris is a known quantity: former first deputy mayor under de Blasio, former Port Authority executive, McKinsey partner. The real estate industry greeted his selection with relief. REBNY President James Whelan called him a thoughtful, experienced, and effective leader. That is the language of institutional comfort. Shorris understands the machinery. He can move projects.

Khan is the wild card. As Biden's FTC chair, she built a national reputation for aggressive antitrust enforcement, suing Amazon and challenging consolidation across industries. Her appointment as EDC chair signals that Mamdani intends the agency to operate differently than it did under previous administrations. The mayor's own language at the press conference was explicit: economic

development and economic justice must go hand in hand. Deputy Mayor Julie Su has been tasked with reorienting the EDC's mission toward poverty reduction, not just job creation and investment.

For a developer or lender evaluating a city-sponsored project, the question is no longer just whether the site works and the subsidy math holds. It is whether the agency's new leadership will apply a different underwriting standard to which projects get approved, which sponsors get selected, and which communities get prioritized. That uncertainty has a cost. It gets priced into bids, into timeline assumptions, and into the decision to pursue private sites instead.

The EDC's \$1 billion LifeSci NYC initiative is a case study in how time and mission drift compound. Launched under de Blasio to boost life sciences development, it has struggled to gain momentum. Seven years and multiple mayoral administrations later, the program has not produced the cluster of lab space and venture-backed startups that was envisioned. The gap between policy ambition and capital deployment is measured in years, not quarters. Every leadership transition resets relationships, reopens underwriting assumptions, and delays capital commitments.

Mamdani's housing goal of 200,000 new units over a decade requires the EDC to function as a reliable counterparty. Developers need to know that the agency can process RFPs, negotiate ground leases, and close transactions on a predictable schedule. A seven-month leadership gap erodes that trust. The question now is whether Shorris and Khan can restore it faster than the market's patience runs out.

The market should test this: watch the next three city-owned site RFPs. If the terms reflect current construction costs and interest rates, the agency is pricing reality into its timeline. If the terms look like they were drafted in 2021, the gap between policy and capital has not closed.

Time is not a neutral backdrop in development finance. It is a cost that compounds. The EDC just spent seven months of it. The question is whether the new leadership can make that time back.

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SOURCES

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